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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Bond yields climbed further during the week as concerns around inflation and risk premiums intensified, while the recent global equities rally lost momentum, with some major technology stocks retreating. Oil prices also advanced, with WTI Crude Oil rising 7.9%, as energy inflation remained elevated following the outbreak of conflict in the Middle East and the continued closure of the Strait of Hormuz.
- The S&P 500 was initially on track for another week of strong gains; however, losses on Friday erased most of the earlier advances, leaving the index to close the week with only marginal gains. During the week, Cerebras Systems Inc. began trading publicly on Thursday following a successful IPO. The stock surged 68.2% on its first trading day before retreating 10.1% on Friday. Cerebras, which operates within the AI ecosystem and specializes in cloud services for Artificial Intelligence (AI), raised USD 5.55 Bn following an oversubscribed IPO priced at USD 185.00 per share.
- According to the US Bureau of Labor Statistics, the Consumer Price Index (CPI) increased by 0.6% in April after rising 0.9% in March. On a year-on-year basis, inflation increased by 3.8%. Energy prices rose by 3.8%, accounting for nearly 40.0% of the headline increase.
- The Senate approved Kevin Warsh as Fed Chair following a 54–45 vote that largely split along party lines. He will succeed Jerome Powell at a time when energy-driven inflationary pressures continue to rise.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,409	7,399	▲ 0.1%
DAX	23,906	24,339	▼ (1.8%)
Nikkei 225	61,409	62,714	▼ (2.1%)
Hang Seng	25,963	26,394	▼ (1.6%)
FTSE 100 (FTSE)	10,195	10,233	▼ (0.4%)
Dow Jones	49,526	49,609	▼ (0.2%)
Median			**▼ (1.0%)**

Source: Investing.com AIB AXYS Research

- Global equities closed lower for the week, posting a median decline of 1.0%, compared to a median gain of 1.2% recorded the previous week. Save for the S&P 500, which recorded a slight increase, all other indices that we track closed in the red. In the US, the S&P 500 rose 0.1%, while the Dow Jones eased 0.2%. Losses deepened on Friday as investors took profit, particularly in the technology sector, after the summit between President Trump and Xi Jinping ended without a breakthrough. Higher inflation reported in the US continues to diminish the odds of a rate cut this year as the market awaits the new Fed Chair.
- Across Europe, Germany's DAX lost 1.8%, with Friday's 2.1% decline cementing the weekly losses amid the lack of a breakthrough during the meeting between President Trump and China's Xi Jinping. Moreover, investors took profit from technology stocks, dragging the index lower. On the other hand, the FTSE 100 recorded another week of losses, shedding 0.4%. The market was weighed down by rising inflation concerns, a complicated monetary policy path, and domestic politics, marking a fourth consecutive week of losses.
- Across Asia, the Nikkei 225 and Hang Seng dropped by 2.1% and 1.6%, respectively, tracking the broader market weakness.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.38%	4.31%	▲ 6.9bps
UK 10 Yr Gilt	4.97%	4.91%	▲ 5.8bps
Germany 10 Yr Bund	3.04%	3.01%	▲ 3.4bps
Japan 10 Year Bond	2.51%	2.44%	▲ 6.9bps

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond yields climbed across major markets as inflation concerns persisted, compounded by the unresolved conflict in the Middle East. US 10-year bond yields rose by 23.7 bps to settle at 4.60% on Friday, one of the highest levels recorded recently. Inflation came in higher, while there was no major development from the summit between President Trump and China's Xi Jinping that would have eased market concerns over the Middle East conflict. The market continued to price in possible rate hikes if energy-driven inflation remains sticky and above the Fed's target.
- UK 10-year gilt yields jumped 27.0 bps to 5.18%, the highest level since July 2008. Two key factors came into play: i) domestic politics, as strong candidates emerged to challenge Prime Minister Keir Starmer, and ii) increased prospects for rate hikes as inflation is expected to remain elevated. Germany's 10-year Bund yield rose by 16.3 bps to close the week at 3.17%, the highest level since May 2011.
- In Japan, higher inflation has continued to raise expectations for rate hikes at the upcoming Bank of Japan meeting, pushing the 10-year benchmark yield up by a further 22.9 bps to 2.71%.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7151	0.7247	▼ (132bps)
USD/JPY	158.770	156.670	▲ 134bps
GBP/USD	1.333	1.363	▼ (227bps)
EUR/USD	1.163	1.179	▼ (136bps)
US Dollar Index	99.21	97.78	▲ 146bps

Source: Investing.com AIB AXYS Research

The US dollar rebounded, as evidenced by the US Dollar Index gaining 146 bps against a basket of currencies to close the week at 99.21, up from 97.78. Notably, during the week, the US dollar gained 227 bps against the British pound, with the GBP/USD pair closing the week at 1.333.

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